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4. Housing Finance

Housing finance is provided against the security of immovable property of land and buildings. Many banks such as SBI, Bank of India, etc, have set up housing finance subsidiaries.

5. Mutual Fund

It is a financial intermediary that pools the savings of investors for collective investment in diversified portfolio securities in the capital market and money market. Many banks like SBI, Indian Bank, etc, have set up mutual fund subsidiaries.

6. Venture Capital Fund

Venture capital fund provides start-up share capital to new ventures of little known, unregistered, risky, young and small private business, especially in technology oriented and knowledge intensive business. Many commercial banks like SBI, Canara Bank, etc. have set up venture capital fund subsidiaries.

7. Factoring

Factoring is a continuing arrangement between a financial intermediary (factor) and a business concern (client) whereby the factor purchase the clients' accounts receivable. Banks like SBI and Canara Bank have established subsidiaries to provide factoring services.

12.04 Electronic Banking Functions

This reduces cost and time and makes banking service convenient to the customers. It is operated through internet. This service is a substitute for drafts, cheques and other paper based transfer of funds.

1. NEFT - National Electronic Funds Transfer

This was launched by the RBI in 2005. Under this electronic funds transfer system, bulk transfer of transactions are settled in batches during specific timings across India. Individuals and institutions which maintain accounts with a NEFT enabled bank branch are eligible for using NEFT. Transactions do not occur under real time basis. Once in every half hour from 8.00 am to 7.30 pm. 23 settlements are allowed in a day.NEFT transfers are not allowed on Sundays and bank holidays. Both NEFT and RTGS use IFSC (Indian Financial System Code) - a 11 digit alphanumeric code, to identify a bank branch. IFSC is provided by IDRBT (Institute for Development & Research on Banking Technology), Hyderabad.

2. RTGS - Real Time Gross Settlement Systems

It was launched by the RBI in 2013. The transactions are settled on real time basis. Gross settlement means the transaction is settled between one bank and another bank without adding any other transactions. RTGS facility is available between 9.00 am to 4.30 pm on weekdays and up to 2.00 pm on Saturdays. In one day the RTGS routes about 60,000 transactions worth about ₹2,700 billion and covers over 52,000 bank branches located in 10,000 cities and towns. RTGS transfers are not allowed on Sundays and bank holidays. Minimum limit for RTGS transaction is 2 lakhs.

3. Electronic Clearing Services (ECS)

ECS was launched by the RBI in 1995. It is an electronic method of fund transfer from a